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New articles for maxweberman.com: real sub bids, change orders, choosing a builder, and the first five decisions on a custom home. Written from Max's Oct 13 Style Swipe picks.

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Real Sub Bids vs. Padded Estimates

DRAFT · MAXWEBERMAN.COM/BLOG/REAL-SUB-BIDS

When you ask a builder what your project will cost, you'll get a number. The question that matters is where that number came from.

Some builders give you an estimate built from rough per-square-foot figures, past jobs, and a cushion on top. Others go out to the subcontractors who will actually do the work and get written bids. Both produce a number on a page. Only one of them tells you what the job is likely to cost.

I build on real sub bids. Here's what that means, why it matters, and how to tell which kind of number you're looking at.

What a Padded Estimate Looks Like

A padded estimate isn't always dishonest. Early in a project, before the drawings are finished, a rough number is sometimes all anyone can give you. The problem starts when a rough number is treated as a real price.

Padding usually shows up in a few places:

- **Round lump sums.** A single round number for a whole trade, with nothing behind it.
- **Hidden cushions.** Extra built into each line so the builder is covered no matter what the trades actually charge.
- **Markup on top of markup.** A sub's price gets marked up, then the total gets a percentage fee on top.
- **Numbers that never change.** If the estimate looks the same before and after the drawings are finished, nobody went back to the trades.

The result is a number that might be too high, so you overpay, or too low, so it grows later through change orders. Either way, you can't tell which.

What a Real Sub Bid Is

A real sub bid is a written price from the subcontractor who will do the work, based on the drawings and the scope for your job. It tells you what's included, what isn't, and what the sub is assuming.

Because I charge a flat fee and pass costs through at cost (I explain why in Why I Charge a Flat Fee Instead of a Percentage), the bid you see is the number you pay for that trade. I don't add a markup to it. That only works if the bids are real.

How I Get Real Bids: Step by Step

1. **Finish enough of the design to bid.** Subs can only price what they can see. The more complete the drawings and selections, the tighter the bids. Where something isn't chosen yet, we carry a clearly labeled allowance instead of guessing.
2. **Write a clear scope for each trade.** Every sub bids the same work: same drawings, same specs, same list of what's in and what's out. That's what makes bids comparable.
3. **Send it to more than one sub.** For the major trades, I get multiple bids so we can see the range. Max to confirm: confirm how many bids you typically get per major trade.
4. **Walk the site with them when it matters.** On remodels and tight sites, a sub who has seen the conditions prices more accurately than one working off photos.
5. **Level the bids.** Before comparing prices, I line the bids up side by side and check that each one covers the same scope. A low bid that leaves out the permit or the cleanup isn't really low.
6. **Review them with you.** You see the bids, the differences between them, and my recommendation. You make the call.
7. **Lock the scope into the subcontract.** The sub's contract matches what they bid, so there's no room for "that wasn't in my price" later.

How to Read a Bid Comparison

When we sit down with the bids, here's what I'm looking at, and what you should look at too:

- **Exclusions.** The most important part of any bid is the list of what it doesn't include. Compare those first.
- **Assumptions.** Does the bid assume a certain material, access, schedule, or condition behind the walls? If the assumption is wrong, the price will move.
- **Allowances inside the bid.** Some subs carry their own allowances for fixtures or materials. Those need to match your selections.
- **Schedule.** Can the sub actually start when we need them? A cheaper bid that delays the job can cost more in the end.
- **The outlier.** If one bid is far below the others, it usually means something is missing. I'll find out what before we decide.

The lowest number isn't always the best value, and the highest isn't always the best quality. The point of real bids is that you get to see the difference and choose with the facts in front of you.

PHOTO
Bid comparison sheet on the table during a client meeting

Why Real Bids Lead to Fewer Surprises

A budget built on real bids still isn't a guarantee. Hidden conditions, material price changes, and owner changes can all move the number. But it starts from what the job will actually cost, not from a guess with a cushion. That means:

- **Fewer change-order fights**, because the scope was clear from the start.
- **Better value engineering**, because we can see exactly which trade is driving the cost and look for smart savings there.
- **Trust in the number**, because you've seen where it came from.

Questions to Ask Any Builder About Their Numbers

1. Is this number based on written bids from subcontractors, or on an estimate?
2. Can I see the bids?
3. How many bids did you get for the major trades?
4. Do you mark up subcontractor costs? By how much?
5. What's excluded, and what's carried as an allowance?

A builder who works from real bids will be glad you asked.

This article is general information, not legal or financial advice.

Let's Talk About Your Project

If you're planning a custom home or a restaurant build-out in metro Detroit and want to see real numbers before you commit, reach out through maxweberman.com. I'll walk you through how I bid a job and what you'll see along the way.

How Change Orders Should Work (and Why They Cause Fights)

DRAFT · MAXWEBERMAN.COM/BLOG/CHANGE-ORDERS

Almost every construction project has changes. You see the framing and want a bigger window. The inspector asks for something the drawings didn't show. A wall comes down and there's rot behind it. Changes are normal.

Fights about changes are not inevitable. Most of them come from the same few problems: a vague scope, no written process, and a builder whose pay goes up with every change. Here's how change orders should work, and how I handle them on my jobs.

What a Change Order Is

A change order is a written agreement to change the contract: the scope, the price, the schedule, or all three. It's signed by you and the builder before the changed work is done.

That last part is the one that gets skipped, and it's where most of the trouble starts.

Why Change Orders Turn Into Fights

- **The scope was never clear.** If the contract says "finish basement" without saying what that includes, every detail becomes a possible change.
- **Verbal changes.** "Sure, go ahead" on the jobsite turns into a surprise bill a month later.
- **No price before the work.** The change gets done first and priced later, when you no longer have any leverage or choice.
- **Low bid, high changes.** Some builders win jobs with a low number and plan to make it back on changes.
- **Markup incentives.** If the builder earns a percentage on every dollar, every change is more money for them.

How Change Orders Should Work: Step by Step

1. **Start with a clear scope.** The best change-order process is fewer change orders. Clear drawings, real sub bids, and labeled allowances cut down the "I thought that was included" moments. (More on that in Real Sub Bids vs. Padded Estimates.)

2. **Put the process in the contract.** The contract should say how changes are requested, priced, approved, and paid for. Max to confirm: confirm the change-order terms in your standard contract so this post matches them.
3. **Write it down before the work.** Any change, from you, from me, or from a site condition, gets written up with a description of the work.
4. **Price it with real numbers.** I get the cost from the sub doing the work and show it to you. Because my fee is flat, I don't add a markup to the change. Max to confirm: confirm how your fee handles a large scope change, as covered in your contract.
5. **Show the schedule impact.** A change can add days. You should know that before you decide, not after.
6. **You approve it in writing.** Then the work happens. Not before.
7. **Track it in the budget.** Every approved change shows up in the cost report, so the running total is never a mystery.

Three Kinds of Changes

Changes you ask for. You pick a different tile, add a room, move a wall. These are your call, and you should see the cost and schedule impact before you decide.

Hidden conditions. Rot, old wiring, a soil problem. Nobody chose these, but they still have to be handled. A good contract says how they're priced, and a good builder shows you what they found. I document hidden conditions with photos so you can see what we're dealing with.

Required changes. An inspector or code requirement calls for something the drawings didn't show. These get the same written process, with the reason documented.

PHOTO
Hidden condition uncovered during demo, documented for the owner

How Remote Cameras Help

I watch my jobs remotely with cameras, and that helps with changes in two ways. I can see what was actually built and when, which settles a lot of "who changed what" questions with facts instead of memory. And when a hidden condition shows up, I can see it quickly and get you an answer sooner. Max to confirm: confirm whether owners can also view the job cameras, and add a line here if so.

How to Avoid Change-Order Fights as an Owner

1. Make as many selections as you can before construction starts.
2. Read the scope and ask what's excluded.
3. Never approve a change verbally. Ask for it in writing with a price.
4. Ask how the builder is paid on changes.
5. Keep a contingency in your budget for hidden conditions.
6. Read the cost reports when they come.

This article is general information, not legal advice. Have an attorney review any construction contract before you sign it.

Let's Talk About Your Project

If you want a builder who puts changes in writing and doesn't profit from them, reach out through maxweberman.com. I'll walk you through how I handle changes from the first request to the final bill.

How to Pick a Builder: Questions to Ask Before You Sign

DRAFT · MAXWEBERMAN.COM/BLOG/HOW-TO-PICK-A-BUILDER

Picking a builder is the biggest decision you'll make on your project. The design, the budget, and the schedule all run through the person you hire. Yet a lot of owners pick a builder based on one number and a good feeling.

Here's a step-by-step way to choose, with the questions I'd ask if I were in your shoes. Some of them are hard questions. A good builder will be glad you asked.

Step 1: Check the Basics First

Before you talk price, make sure the builder is set up to do the work.

1. **License.** Ask for their builder license number and check it with the state. Max to confirm: confirm the exact Michigan licensing check to point readers to.
2. **Insurance.** Ask for proof of liability insurance and workers' compensation coverage. Max to confirm: confirm which certificates you provide to owners.
3. **Experience with your kind of project.** A custom home, a remodel, and a restaurant build-out are different jobs. Ask to see similar work.
4. **References.** Ask for recent clients, and call them.

Step 2: Ask How They Get Paid

This is the question that tells you the most. Ask it directly: "How do you get paid?"

- Is it a fixed price, a percentage of costs, a flat fee, or something else?
- Do they mark up subcontractors and materials?
- Does their pay go up when the budget goes up?

Different structures fit different projects. I explain the options in How to Structure a Construction Contract and why I charge a flat fee in Why I Charge a Flat Fee Instead of a Percentage. What matters is that you understand what your builder is rewarded for.

Step 3: Ask Where Their Numbers Come From

1. Is the price based on written subcontractor bids or an estimate?
2. Can I see the bids?
3. What's excluded? What's carried as an allowance?

If two builders' numbers are far apart, the answer is usually in the exclusions and allowances, not in who's cheaper. I go deeper in Real Sub Bids vs. Padded Estimates.

Step 4: Ask How Changes Are Handled

Every project has changes. Ask:

1. How do I request a change?
2. Will I see the price and schedule impact in writing before the work is done?
3. Do you mark up change orders?

If the answer is vague, expect fights later. Here's how I think change orders should work.

Step 5: Ask How You'll Know What's Happening

1. How often will I get updates, and in what form?
2. Will I see cost reports showing what's been spent?
3. Who is on site day to day, and how do you keep an eye on the job?

On my jobs, I watch the site remotely with cameras in addition to being there in person, so I know what's happening even on days I'm not on that site. Max to confirm: confirm whether owners get camera access and how often you send updates.

Step 6: Look at a Jobsite

If you can, visit one of the builder's active jobs. A jobsite tells you more than a portfolio.

- Is it clean and organized?
- Are materials stored properly?
- Does it look like the next trade can walk in and start work?

I keep very clean jobsites because a clean site is safer, protects the work in place, and usually means the schedule and the books are organized too.

PHOTO

Clean, organized active jobsite

Step 7: Read the Contract Before You Sign

1. Does the scope match what you discussed?
2. Are payments tied to progress?
3. What does the warranty cover, and for how long? (See What Happens After Your Project Is Done.)
4. Are lien waivers collected with payments?

Have an attorney review it. That's money well spent on a project this size.

Red Flags

- A price far below everyone else's, with no explanation.
- Pressure to sign fast.
- A large payment up front before work starts. Max to confirm: confirm whether you want to say anything specific about deposits.
- No written process for changes.
- Reluctance to show bids, insurance, or references.

The Short Version

Pick the builder whose answers you understand and whose incentives line up with yours. The lowest number on day one isn't the same as the lowest cost at the end.

This article is general information, not legal advice.

Let's Talk About Your Project

If you're interviewing builders for a custom home or a restaurant build-out in metro Detroit, put me on the list. Reach out through maxweberman.com and ask me every question on this page.

Planning a Custom Home: The First Five Decisions

DRAFT · MAXWEBERMAN.COM/BLOG/CUSTOM-HOME-FIRST-FIVE-DECISIONS

Building a custom home involves thousands of decisions, from the lot to the light switches. But a handful of early ones shape everything that follows. Get these five right, and the rest of the project gets easier. Get them wrong, and you'll be paying for it in redesigns and change orders.

Here they are, in the order I'd make them.

1. Set a Real Budget, Including the Parts People Forget

Start with what you can actually spend, all in. Not just construction, but everything around it:

- **The lot**, if you don't already own one.
- **Design**: architect, engineer, and any surveys or soil testing the site needs.
- **Permits and fees.**
- **Site work**: utilities, driveway, grading, and landscaping.
- **Furnishings and move-in costs.**
- **A contingency** for the things nobody can see yet.

Then figure out how you'll pay for it. If you're financing, talk to a lender early, because construction loans work differently from a regular mortgage. I explain how in Construction Loans and Draws.

> Max to confirm: do you want to give readers a general contingency range, or keep it unstated?

2. Choose the Site, and Understand It

The lot decides more than the view. It affects the foundation, the utilities, the drainage, the orientation of the house, and what you're allowed to build.

Before you commit to a lot, find out:

1. What zoning and any subdivision rules allow.
2. Whether utilities are available at the street, or need to be brought in.
3. What the soil and drainage are like.
4. Where the sun is, and which way the house will face.

Bring your builder in before you buy if you can. A short site visit can flag costs that won't show up on the listing.

3. Pick Your Team and How You'll Work Together

You'll need a designer and a builder. The earlier the builder is involved, the better the design will fit the budget, because you'll get real pricing feedback while changes are still cheap.

This is also when you decide how the builder gets paid: fixed price, percentage, flat fee, or something else. On custom homes, I work for a flat fee and pass costs through at cost, because custom homes involve a lot of decisions along the way and I want my advice to be the same no matter what it costs. More on that in Why I Charge a Flat Fee Instead of a Percentage, and on choosing a builder in How to Pick a Builder.

4. Decide Size and Layout Before Style

It's tempting to start with finishes and photos. Start with how you'll live instead.

1. How many bedrooms and bathrooms do you need now, and in ten years?
2. Where do you spend most of your time?
3. Do you need a main-floor bedroom, a home office, a mudroom, room for guests?
4. What will you store, and where?

Square footage drives cost more than almost anything else. A smart layout often lets you build less house and get more out of it.

PHOTO
Floor plan markup from an early design meeting

5. Decide What Matters Most, and Where to Save

Every custom home has trade-offs. Decide your priorities early, before the bids come in:

- **Where to spend:** the things you'll touch and see every day, and the things that are hard to change later, like structure, insulation, windows, and mechanical systems.
- **Where to save:** finishes you can upgrade later, and details that cost a lot of labor for little everyday benefit.
- **What can wait:** a finished basement, landscaping, or a pool can sometimes be phased in later. If a pool is on the list, plan for it now even if you build it later (see Building a Pool with Your New Home).

When the real sub bids come in, this list makes value engineering easy. We'll know what to protect and where to look for savings.

After the First Five

With these decisions made, the design can move forward, the subs can bid, and the selections that remain become much simpler. You'll also have far fewer surprises in the middle of construction, which is where changes cost the most.

This article is general information, not legal or financial advice.

Let's Talk About Your Project

If you're starting to plan a custom home in metro Detroit, reach out through maxweberman.com. I'm happy to walk through these five decisions with you, even before you've bought a lot.